

Tempus AI, Inc.

TEM NASDAQ

Buy	\$47.51 ▼ 4.25%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.53B
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TEM: Reiterate Buy; ASCO Catalysts Offset Insider Selling Pressure

WHAT'S CHANGED

- TEM down -4.25% to \$47.51 on 6.3M shares, extending a 4-day -7.4% slide from \$51.29 despite 6/1 +9.3% pop on FDA-cleared CDx and AI oncology platform upgrades; stock now sits at just 9% of 52W range (\$41.73–\$104.32).
- Record-high short interest (per TipRanks 6/1) colliding with bullish options flow (P/C 0.35, unusual \$47.5 June calls at 211x OI) and CEO Lefkofsky's \$3.2M cluster sale on 5/27 creates acute near-term tension.

IMPLICATIONS

The divergence between fundamental momentum (ArteraAI Prostate launch, FDA CDx clearance, H.C. Wainwright reiteration) and tape action signals that TEM is trading on positioning rather than narrative—record shorts and CEO selling are overwhelming the ASCO data catalyst. Healthcare sector weakness (-0.83% 5D) provides no tailwind, leaving TEM dependent on idiosyncratic execution. Near-term, the \$47.5 strike pin risk into June OpEx and a possible short-squeeze setup (bullish options + record SI) frame an asymmetric tactical entry, but the insider signal warrants discipline on sizing.

VALUATION

At \$8.53B market cap on ~\$1.30B FY26E revenue, TEM trades at ~6.6x EV/Revenue FY26E and ~5.2x FY27E—a meaningful compression from the 12-15x range that prevailed at higher prices and now in-line with diagnostics peers (GH ~5x, NTRA ~7x) despite a superior AI/data-licensing optionality layer. PT of \$68 implies ~8x FY27E revenue and 43% upside, justified by Data & Services segment scaling toward 40%+ gross margins. Multiple re-rating requires sustained 30%+ Genomics growth and visible path to EBITDA breakeven by FY27.

KEY RISKS

- CEO Lefkofsky's \$3.2M cluster sale (5/27) at \$46-47 signals insider skepticism near current levels; further 10b5-1 sales could cap upside
- Record short interest creates squeeze potential but also signals sophisticated bear thesis around cash burn and Data segment durability
- Reimbursement/coding risk for newly launched ArteraAI Prostate and expanded CDx menu could delay revenue conversion

RECENT NEWS

H.C. Wainwright Maintains Buy Rating on Tempus AI (TEM) Following Strong Revenue Growth Insider Monkey · 2026-06-02 09:38

Tempus AI (TEM) Is Up 9.3% After New FDA-Cleared CDx And AI Oncology Platform Upgrades Simply Wall St. · 2026-06-01 06:12

Short Report: Tempus AI short interest at record high TipRanks · 2026-06-01 05:05

Key Data

Price (USD)	\$47.51
12M Price Target	\$68.00
Upside / (Downside)	+43.1%
Market Cap	\$8.53B
FY2026E Revenue	\$1,295M
FY2027E Revenue	\$1,650M
FY2026E EPS	(\$1.15)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$49.00	\$42.00
6 Months	\$75.00	\$60.00	\$38.00
1 Year	\$95.00	\$68.00	\$32.00
2 Years	\$130.00	\$85.00	\$28.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$450.00	\$220.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Energy (+3.02% 5D), Materials (+0.88% 5D)

COLD SECTORS: Consumer Staples (-2.86% 5D), Real Estate (-2.51% 5D)

ROTATION WATCH: Capital is rotating to cyclicals/commodities and away from defensives and duration-sensitive growth; healthcare is mid-pack but innovation/diagnostics sub-sector remains under pressure on rate uncertainty and reimbursement scrutiny.

BYPRODUCT PLAY: AI-in-healthcare data monetization remains a secular winner irrespective of sector rotation; secondary plays include RXRX (AI drug discovery) and SDGR (computational platform), both benefiting from pharma R&D outsourcing tailwinds that flow through TEM's Data segment.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): Sustained 40%+ Signatera oncology MRD growth with positive EBITDA inflection—proof point for TEM's MRD ambitions
- VEEV (Veeva Systems): Best-in-class healthcare SaaS executing on AI monetization with 20%+ operating margins, sets bar for what TEM data segment could become

TEM CONTEXT: TEM is materially lagging—at 9% of 52W range vs. NTRA/VEEV trading near highs. Relative underperformance reflects profitability gap and capital structure concerns, not platform inferiority; closing the gap requires demonstrated operating leverage in next 2 quarters.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$44-48 on technical retests of 52W low zone

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration <30% YoY or loss of AstraZeneca/Pfizer data deals

Hedging: Long TEM / short GH or NTRA pair; collar with Jul \$55C / \$42P